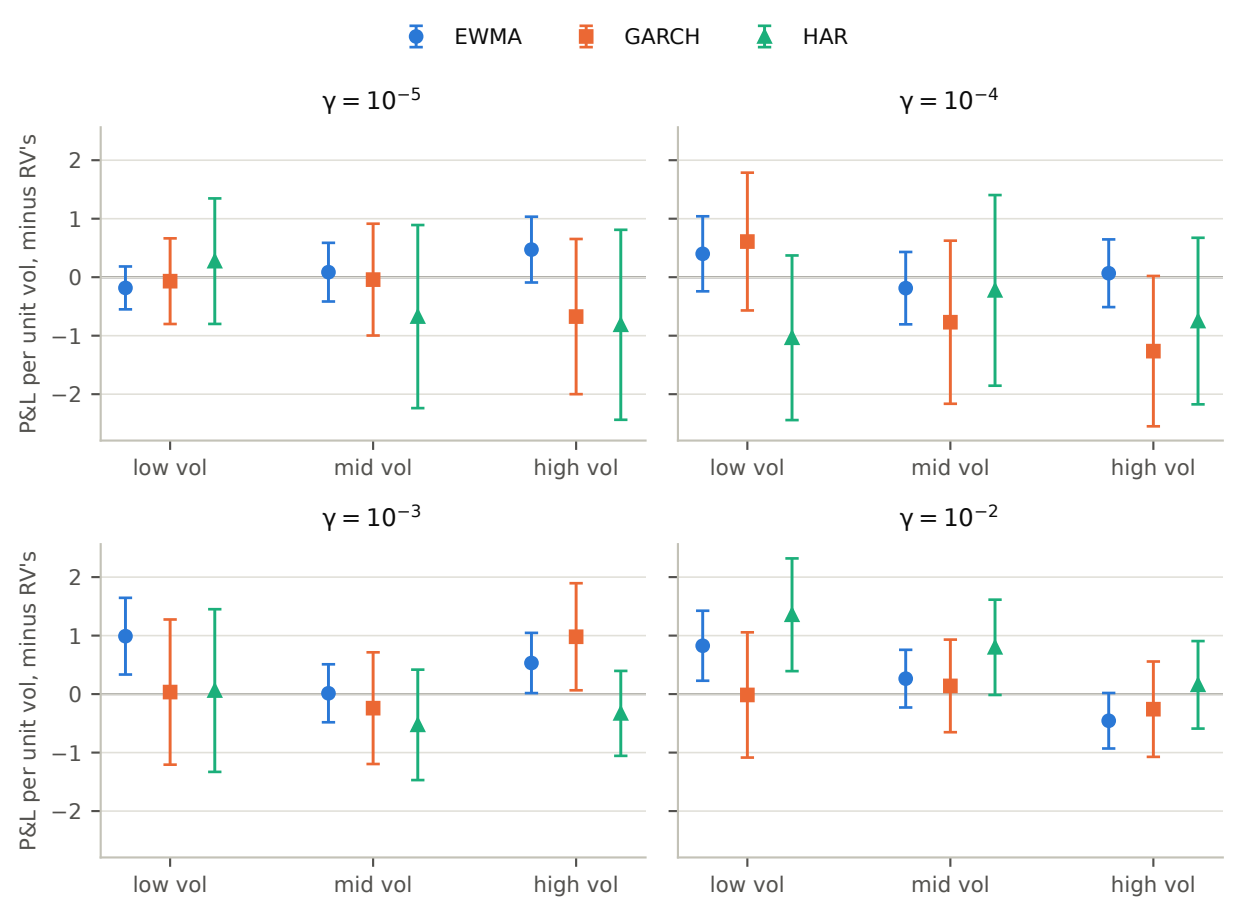
EWMA
GARCH
HAR
$\gamma = 10^{-5}$
$\gamma = 10^{-4}$
$\gamma = 10^{-3}$
$\gamma = 10^{-2}$
P&L per unit vol, minus RV's
2
1
0
−1
−2
low vol
mid vol
high vol